because no downward trends or price outliers obscure the view. This visibility is important in that the horn should stand alone and not be part of a congestion region. It should mark the turning point of a downward price trend. However, because horns are rare, be flexible on visibility. The horn on the right of the chart doesn't have the type of visibility you see on the left horn, but it's still a valid pattern.

The horn on the right side of the chart is what the pattern looks like in an uptrend. There is a small price retrace of 3 weeks' duration just as the horn bottoms out. These few weeks separate the horn from the surrounding price action and allow easy recognition.

Table 43.1 Identification Guidelines

Characteristic	Discussion
Appearance	Use the weekly chart and locate two downward price spikes separated by a week. The two spikes should be taller than similar spikes over the prior year and be well below the low of the center week. The formation should look like an inverted horn.
Clear visibility	In a downtrend, the horn lows should be well below the surrounding lows, especially to the left of the formation for several weeks (ideally, but be flexible). Usually, horns appear near the end of declines but also happen on retraces in uptrends (where visibility is less clear to the left).
Breakout direction, confirmation	Breakout is upward. If price first closes below the bottom of the horn, then the pattern is not a horn. When price breaks out upward, it confirms the horn as a valid chart pattern.